

Sequel. The company covered its fixed charges nearly six times during the balance of 1933, following the recapitalization. It covered its charges nearly five times in 1934, nearly ten times in 1935 and over thirty-eight times in 1936. The notes were paid off at par upon maturity on Apr. 4, 1936.

NOTE 68

MEMORANDUM FOR HOLDERS OF VICTORY BONDS *(Circular issued in May, 1921)*

We desire to point out to owners of Victory $4^3/4$ s, due June 1, 1923, the advantage to be gained through their exchange at current prices into an equivalent amount of Liberty Fourth $4^1/4$ s, due 1938.

At this writing the Victory $4^3/4$ s are selling at about \$97.70, and the Liberty $4^1/4$ s at about \$87.20. The straight income return on both issues is the same—4.86%. Differently stated, each \$400 of Victory notes can be exchanged for \$450 of Liberty Fourth $4^1/4$ s, on an even basis of both cost and income return.

But the Liberty bonds have a great advantage over the Victory Notes from the standpoint of prospective market appreciation. The possible advance of the Victory Notes is strictly limited to two points, since their near maturity (1923) precludes their selling at any considerable premium. The Liberty bonds, however, are selling at so substantial a discount from par (over $12\frac{1}{2}\%$), that it is not only possible but quite probable that there will be an important advance during the next few years.

To use perhaps an extreme example, if we suppose that by 1923 all Victory and Liberty bonds have returned to par, the rise in the Fourth Liberty bonds would amount to over twelve points against only two points for the Victories. By making the proposed exchange, the investor would then realize \$450 for each \$400 of Victory Notes now owned. In any event, the Liberty $4^1/4$ s need to advance only two points in the next two years to make the suggested exchange profitable.

In this connection we would point out that all indications favor an impending advance in high grade bond prices. The tendency toward lower interest rates is already apparent, as is evidenced by the reduction in the Federal rediscount rate. For this reason, long term investments are now quite generally preferred over short term notes, and consequently the income return to be obtained on the former is considerably less than that on near maturities. But in the case of the Victory issue, these short term notes can be exchanged for long term Liberty bonds without any reduction in straight income return.

Liquidation in the Liberty issues has been drastic and until recently continuous, but this period now appears about ended. Bonds bought with borrowed